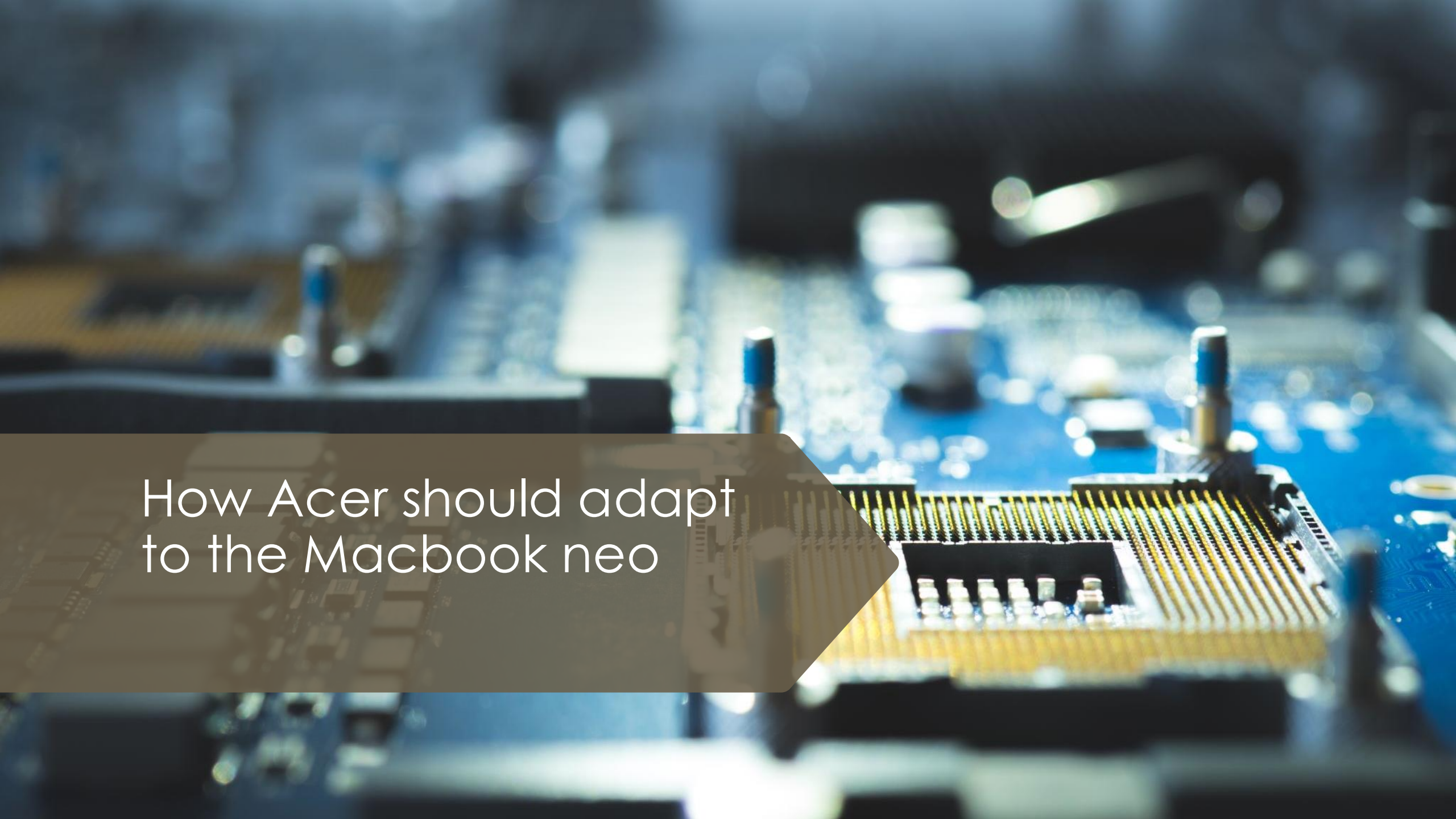
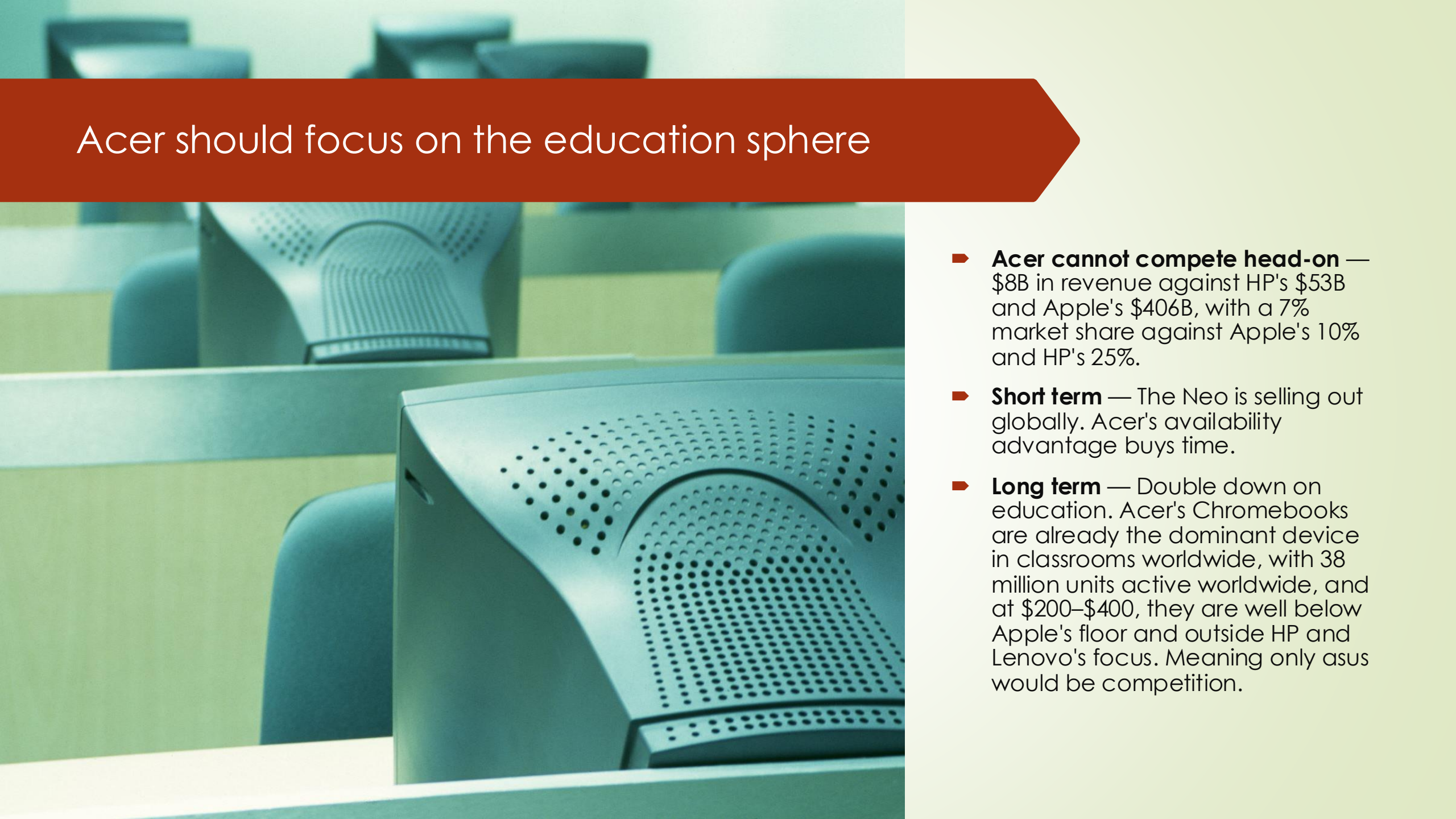




How Acer should adapt
to the Macbook neo



Acer should focus on the education sphere

- **Acer cannot compete head-on** — \$8B in revenue against HP's \$53B and Apple's \$406B, with a 7% market share against Apple's 10% and HP's 25%.
- **Short term** — The Neo is selling out globally. Acer's availability advantage buys time.
- **Long term** — Double down on education. Acer's Chromebooks are already the dominant device in classrooms worldwide, with 38 million units active worldwide, and at \$200–\$400, they are well below Apple's floor and outside HP and Lenovo's focus. Meaning only Asus would be competition.

Threat of new entrants — Apple's brand and capital give it near-zero resistance entering the budget segment.

Supplier leverage — Acer pays margin to Intel and Qualcomm for components Apple designs in-house.

Buyer leverage — A price-sensitive market with endless options, now including an Apple product at \$599.

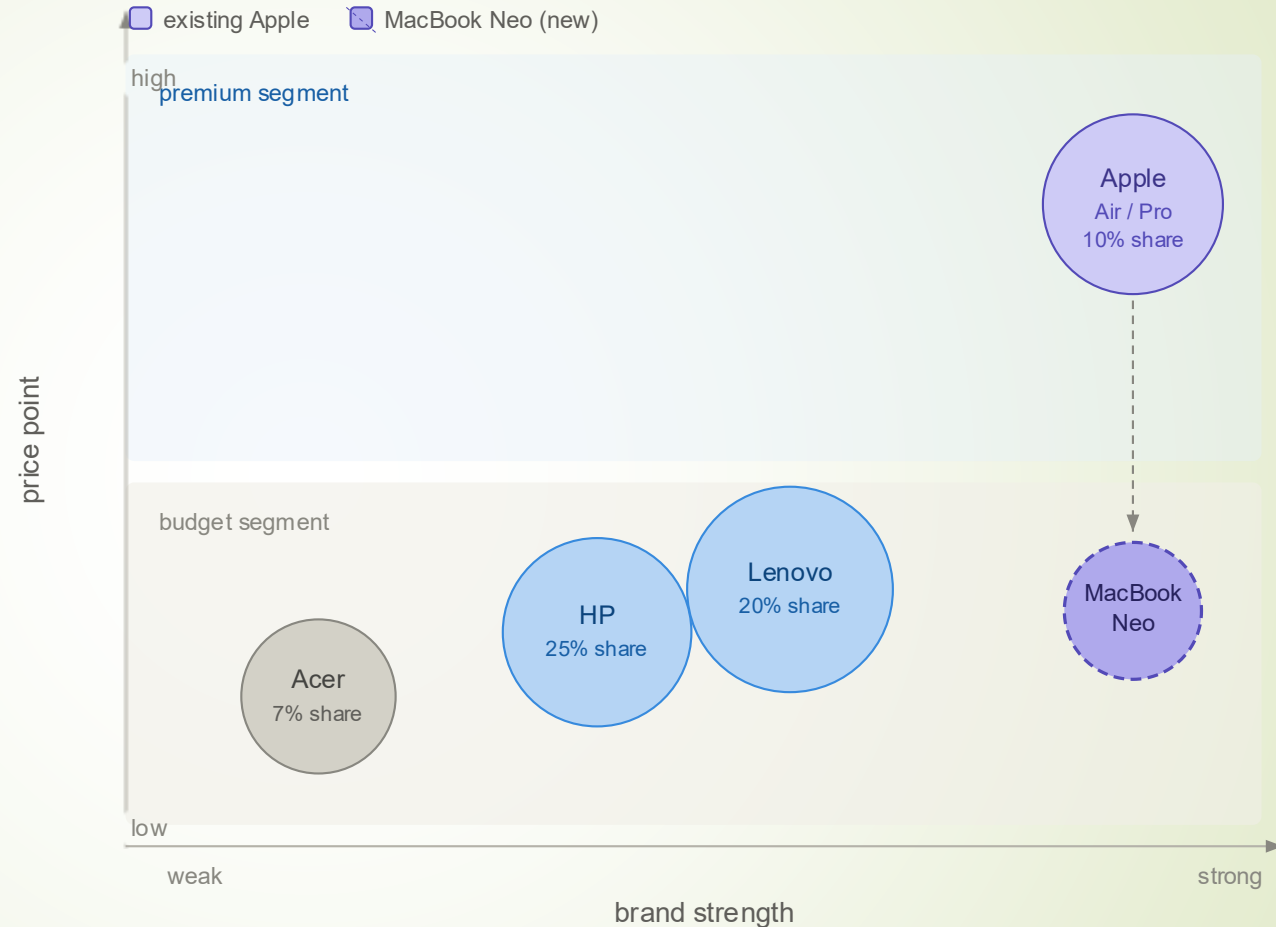
Threat of substitutes — The Neo outperforms every Acer laptop in its price range and pulls 1.5B iPhone users with it.

Competitive rivalry — Acer's 7% share is already dwarfed by HP (25%) and Lenovo (20%). Apple held 10% before the Neo existed.

The facts
suggest that
Acer is better
off not
competing
with apple

Acer faces a strong brand in a similar price range

- **The MacBook Neo changes everything** — Apple now has a product that outperforms every competitor in its price range, backed by the strongest brand in consumer technology.



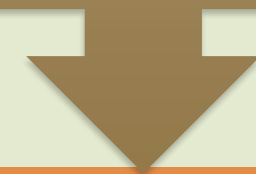
- **Market penetration** — Not viable. Acer cannot match the Neo on specs or brand, and lacks the capital to try.
- **Product development** — Not viable. Any R&D push would be outpaced by Apple and HP before it reaches market.
- **Market development** — Pursue. Acer's Chromebooks already own the education segment where Apple is priced out and procurement favours affordability.
- **Diversification** — Monitor. High risk without a clearly defined niche, but worth revisiting as the market shifts.

Acer should
focus on a new
market with its
current
products



Acer should use short term availability to buy time for R&D

Short term: Apple's neo stock is quickly selling out so acer should take advantage of their superior availability to buy time and gather funds for the long term



Long term: make use of Acer's strong foothold in education with the chromebooks and focus research and development on refining products in that more specific niche



Education is Acer's strongest ground

Acer's chromebooks are already used by educational institutions worldwide

No other company has as strong of a presence as acer, along with a brand as strong as theirs.

Acer's prices are considered competitive (\$200-\$400) whereas their competitors would be considered premium (\$599 macbook neo)



Conclusion

Acer cannot match the MacBook Neo — not on performance, build quality, brand, or resources.

But it doesn't need to. The education market is Acer's to lose — reliable, established, and priced where Apple and other competitors cannot follow.